

Interest rates



Interest is paid to holders of financial assets such as bonds. The rate of interest is determined by the supply and demand for money. When rates are high people buy interest-earning financial assets; they are less willing to hold money, while when national income is higher, people need more money for transactions. Suppose the central bank sets a certain level of money supply. The money market comes to rest when demand for money is equal to supply, and for this to happen, the interest rate must adjust to the level at which people are willing to hold an amount of money equal to that supplied by the central bank.

Suppose the central bank now floods the economy with money. Given national income, people don't need that much money to trade. At the current interest rate they don't wish to hold all this extra money, so in order for them to keep hold of it interest rates must fall: bonds become less attractive and people become

willing to hold the extra money supply, returning the market to balance.